

Bharat Electronics Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.bel-india.in/
Sector	nan
Market Cap	1,354,781.06 Cr
PE Ratio	17.89
PB Ratio	9.22
Dividend Yield	0.76 %

Financial Quality

ROE	26.3
ROCE	34.6
CFO Quality	Moderate
FCF CAGR	nan%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	Moderate

Business Overview

Incorporated in 1954, Bharat Electronics Ltd manufactures and supplies electronic equipment and systems to the defence sector. Company also has a limited presence in the civilian market

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Return on equity improving for 3 consecutive years shows strengthening business quality.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.